From Starlink to the state: When platform monopolies become political power

By Paul Budde

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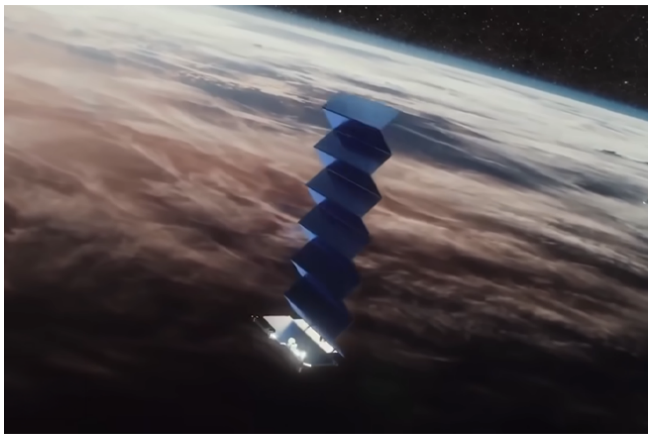

As digital infrastructure concentrates in a handful of tech giants, private platform monopolies are beginning to wield power once reserved for states, writes Paul Budde.

AUSTRALIAN INTERNET expert Geoff Huston, speaking at the APRICOT 2026 conference in Jakarta, posed a set of pointed technical and economic questions about the future of low-earth-orbit (LEO) satellite broadband. His focus was not on policy or geopolitics, but whether there remains any realistic commercial space for competitors to challenge Starlink.

Huston argued that the economics of LEO satellite systems increasingly favour a single dominant player. A globally viable constellation requires not hundreds but many thousands – possibly tens of thousands – of satellites.

When this scale requirement is combined with Starlink's first-mover advantage, early spectrum access, vertically integrated launch capability and global retail model, the barriers to entry become extraordinarily high. The resulting market dynamics, he suggested, point towards a winner-takes-most outcome.

This was not a political argument. It was a description of infrastructure economics.

However, Huston's analysis prompted me to look beyond satellites. If critical digital infrastructure markets are structurally producing unavoidable private monopolies, what does that mean for economic power, political influence and democratic control more broadly? Starlink may be a particularly visible case, but it is part of a much wider pattern now emerging across the digital economy.

The new platform monopolies of the digital age

Starlink is not an outlier. It belongs to a broader class of digital-era platform monopolies characterised by extreme scale, capital intensity and network effects. Once established, these platforms are not simply successful competitors; they become unavoidable intermediaries.

What is striking is that almost all of these dominant platforms are U.S.-based. Across the digital economy, monopolistic or near-monopolistic control has emerged at multiple

layers: cloud computing, AI model infrastructure, mobile operating systems, app distribution, digital advertising, payments, identity systems and now global satellite connectivity. In nearly every case, the leading players are American corporations operating globally.

These platforms stack vertically. Businesses, governments and citizens depend on them simultaneously for communication, computation, distribution and increasingly physical connectivity. Smaller firms are squeezed not by one gatekeeper, but by many, each privately governed and commercially optimised.

When companies rival states

The scale of this power becomes clear when market capitalisation is set against national economies. On their own, trillion-dollar valuations are abstract. In comparison, they are revealing.

The market capitalisation of Apple and Microsoft, each around US$3 trillion (AU$4.2 trillion) at various points, places them in the same economic range as major developed nations such as France or the United Kingdom. Alphabet and Amazon, at roughly US$2 trillion (AU$2.8 trillion), align with the economic scale of large G20 economies.

Only the largest political entities – notably the United States, China and the European Union as a bloc – consistently exceed this level of economic weight.

A small number of predominantly U.S.-based technology corporations now operate at a scale where their economic gravity and negotiating power increasingly resemble those of states rather than firms.

Infrastructure as leverage

This power is no longer theoretical. Starlink has already demonstrated that privately controlled infrastructure can be constrained, redirected or withheld in politically sensitive contexts. In Ukraine, Starlink connectivity was reportedly limited in certain operational scenarios amid escalation concerns. In Brazil, service was temporarily affected during periods of regulatory and political tension.

A single private company had the capacity to influence national connectivity at critical moments. Dependency on platform monopolies does not become a sovereignty issue because ownership is foreign; it becomes one because decision-making capacity is eroded.

Monopoly power meets politics

What makes this concentration of power especially dangerous is its growing alignment with political authority. Several major technology leaders have positioned themselves close to U.S. President Donald Trump, recognising that regulatory power now matters as much as market dominance.

Trump has openly threatened countries that attempt to rein in the social harms caused by digital platforms, particularly measures aimed at protecting children. Such efforts are framed as attacks on free speech and met with threats of tariffs or trade retaliation. This is not a debate about expression. It is the use of state power to shield platform monopolies from democratic oversight.

Efficiency, resilience and democracy

The standard defence of platform monopolies is market efficiency. Centralisation lowers costs. Scale improves performance. Duplication is wasteful. Yet what markets define as inefficiency often turns out to be the foundation of resilience and democratic control.

Redundancy, diversity of providers and public

oversight are not market failures. They are safeguards against coercion, error and abuse. When efficiency becomes the dominant organising principle, resilience and accountability are systematically engineered out.

An Australian perspective

For Australia, these developments raise uncomfortable questions. We are heavily dependent on foreign-owned digital platforms – from cloud services and social media to satellite connectivity – while regulatory responsibility remains fragmented across competition law, media policy and telecommunications.

Huston's warning should therefore be read as more than a comment on satellites. It is a signal that digital sovereignty, competition policy and democratic resilience can no longer be treated as separate debates.

When digital infrastructure is organised as a private platform monopoly, it does not remain neutral.

It becomes political power — whether we acknowledge it or not.

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